



**BUSINESS
PROFESSIONALS
of AMERICA**
Giving Purpose to Potential

BANKING and FINANCE **(145)**

STATE– 2020

Multiple Choice:

Multiple Choice (30 @ 2 points each) _____ (60 points)

Production Problems:

Matching (10 @ 2 points each) _____ (20 points)

Rule of 72 (5 @ 2 points each) _____ (10 points)

Compound Interest (24 @ 1 point each) _____ (24 points)

TOTAL POINTS _____ ***(114 points)***

**Judge/Graders: Please double check and verify all
scores and answer keys!**

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Workplace Skills Assessment Program competition.

BANKING AND FINANCE - STATE 2020**ANSWER KEY****Page 2 of 4**

1		A
2		A
3		A
4		B
5		A
6		B
7		B
8		C
9		C
10		B
11		B
12		C
13		B
14		A
15		D
16		B
17		C
18		A
19		D
20		B
21		C
22		C
23		D
24		B
25		C
26		C
27		A
28		B
29		D
30		B

Matching

1	H
2	G
3	K
4	D
5	C
6	A
7	E
8	F
9	J
10	I

Rule of 72 (5 @ 2 = 10 points)

INVESTMENT	RATE OF RETURN	YEARS TO DOUBLE
CD	3%	24
US Treasury Note	2.66%	27.1
Common Stock	10%	7.2
Money Market	1.70%	42.4
Preferred Stock	6%	12

Compound Interest (24 points)

NOTE to Grader: Give one point for each item under the interest and ending balance columns for a total of 24 points. Do NOT give points for beginning balance.

Month	Beginning Balance	Deposit	Interest	Ending Balance
1	\$0	\$100	0.46	\$100.46
2	\$100.46	\$100	0.92	\$201.38
3	\$201.38	\$100	1.38	\$302.76
4	\$302.76	\$100	1.85	\$404.61
5	\$404.61	\$100	2.31	\$506.92
6	\$506.92	\$100	2.78	\$609.70
7	\$609.70	\$100	3.25	\$712.95
8	\$712.95	\$100	3.73	\$816.68
9	\$816.68	\$100	4.20	\$920.88
10	\$920.88	\$100	4.68	\$1,025.56
11	\$1,025.56	\$100	5.16	\$1,130.72
12	\$1,130.72	\$100	5.64	\$1,236.36